

was a big deal. Today a score of 90 per cent or above has the same status. The benchmark for good performance thirty years ago was 60 per cent or above; today that benchmark has moved up.

Without a benchmark there is no comparison of returns in finance. If somebody offers you a rate of interest that is much higher than a bank FD, understand that the risk of non-payment of both your investment and the interest on this deal is much higher.

We will include your provident fund, public provident fund, fixed deposits, corporate deposits, all the small savings products, bonds of all kinds under the heading of 'debt'. Some of these products come with tax benefits and some do not. A simple Google search will show you the tax treatment of each of these products. There is another category of 'debt' products that carries more risk than the guaranteed-return products mentioned above. These are debt mutual funds. Let's deal with these just a bit later, in the mutual fund chapter.

The role of debt products in your money box is to provide money at short notice and to provide stability to your long-term investments. Debt products need to give you a degree of certainty that the money will be there when you want it. This is unlike equity which is much more volatile – prices go up and down almost on a daily basis. They also make up the core of your long-term investments. For example, your EPF (employees' provident fund) and PPF (public provident fund) are the core of your retirement corpus. These are safe, tax-free, and provide that rock-solid core to your portfolio.

Why not put all your money into debt products? After all we want to be certain about what we get back in the future?

We don't put all our long-term money into debt because we want the growth that equity can give to our money. Debt products are good for stability but not for growth.

Gold

We think we understand gold and real estate quite well, but we don't, at least not as well as we think we do. Let's talk about gold. Indians are accused of hoarding gold – having a gold fixation – causing India's import bill to rise. It is